The Accounting Cycle Step by Step

My FABM 1 reviewer! The accounting cycle is the repeated set of steps a business follows to turn its daily transactions into useful financial reports. It starts fresh every accounting period, which can be a month, a quarter, or a year.

First, the debit and credit rules

Every transaction touches at least two accounts, and total debits must always equal total credits. This is called double-entry bookkeeping. A debit is simply the left side of an account, and a credit is the right side.

- Assets increase with a debit and decrease with a credit.
- Liabilities increase with a credit and decrease with a debit.
- Owner's capital increases with a credit.
- Owner's drawing (withdrawals for personal use) increases with a debit.
- Revenue or income increases with a credit.
- Expenses increase with a debit.

The normal balance of an account is the side that makes it grow. So assets, expenses, and drawing have normal debit balances, while liabilities, capital, and revenue have normal credit balances. All of this rests on the accounting equation: Assets = Liabilities + Owner's Equity.

The steps of the cycle

- Step 1, Identify and analyze transactions. Only events that can be measured in money and that affect the business (not the owner's personal life) are recorded. Source documents like receipts and invoices are the proof.
- Step 2, Journalize. Each transaction is written in the general journal in date order. The journal is called the book of original entry.
- Step 3, Post to the ledger. Amounts from the journal are transferred to each account in the general ledger, which groups all changes per account. The ledger is the book of final entry.
- Step 4, Prepare the unadjusted trial balance. This is a list of every ledger account and its balance. If total debits do not equal total credits, there is an error to find. Take note: a balanced trial balance does not prove there are zero errors, since an entry that was skipped completely still leaves both sides equal.
- Step 5, Record adjusting entries. At the end of the period, some amounts are not yet updated, like depreciation, used-up supplies, or unpaid salaries. Adjusting entries fix these so the reports follow the accrual basis, meaning income and expenses are recognized in the period they happen, not when cash moves.
- Step 6, Prepare the worksheet and adjusted trial balance. The worksheet is an optional working tool, usually with columns for the unadjusted trial balance, adjustments, adjusted trial balance, income statement, and balance sheet. It is not a formal report given to outsiders.
- Step 7, Prepare the financial statements. These are the income statement (shows net income or net loss), the statement of changes in owner's equity, the balance sheet or statement of financial position, and the statement of cash flows.
- Step 8, Record closing entries. Temporary or nominal accounts (revenue, expenses, and drawing) are brought to zero so the next period starts clean. Revenue and expenses are closed to Income Summary, Income Summary is closed to Capital, and Drawing is closed directly to Capital.

- Step 9, Prepare the post-closing trial balance. After closing, only permanent or real accounts remain: assets, liabilities, and capital. This last check proves the books are balanced before the new period.

Sari-sari store example

Aling Rosa opens Rosa's Tindahan in June. Here are her first transactions, using the periodic method:

- June 1: Rosa invests ₱20,000 cash. Debit Cash ₱20,000; credit Rosa, Capital ₱20,000.
- June 2: She buys store shelves for ₱5,000 cash. Debit Store Equipment ₱5,000; credit Cash ₱5,000.
- June 3: She buys canned goods, snacks, and soap from a supplier on account, ₱8,000. Debit Purchases ₱8,000; credit Accounts Payable ₱8,000.
- June 4 to 30: Cash sales total ₱3,000. Debit Cash ₱3,000; credit Sales ₱3,000.

After posting, the Cash account shows ₱20,000 minus ₱5,000 plus ₱3,000, which is ₱18,000.

Unadjusted trial balance on June 30:

- Debit side: Cash ₱18,000, Store Equipment ₱5,000, Purchases ₱8,000. Total ₱31,000.
- Credit side: Rosa, Capital ₱20,000, Accounts Payable ₱8,000, Sales ₱3,000. Total ₱31,000.

Both sides match, so we move on. The shelves lose value as they are used, so Rosa records ₱100 of depreciation for June: debit Depreciation Expense ₱100; credit Accumulated Depreciation ₱100. Accumulated Depreciation is a contra-asset account, which means it is subtracted from Store Equipment on the balance sheet.

When closing, Sales, Purchases, and Depreciation Expense go to Income Summary and then to Capital. The post-closing trial balance will only show Cash, Store Equipment, Accumulated Depreciation, Accounts Payable, and Capital.

Quick check

- Q: What is the book of original entry? A: The journal, where transactions are first recorded in date order.
- Q: What is the normal balance of an expense account? A: Debit.
- Q: Which accounts are closed at the end of the period? A: Temporary accounts: revenue, expenses, and drawing.
- Q: In the example, why is the trial balance total ₱31,000 on both sides? A: Debits (Cash ₱18,000, Store Equipment ₱5,000, Purchases ₱8,000) equal credits (Capital ₱20,000, Accounts Payable ₱8,000, Sales ₱3,000).
- Q: What kinds of accounts appear on the post-closing trial balance? A: Only permanent accounts: assets, liabilities, and capital.